WEALTH'S DUAL-FLANKED ATTACK

Zealous pursuit of net profit is a double-flanked attack at creating wealth. Since asset value is tied to net profit, raising net profit simultaneously elevates asset value by the average industry multiple. Of course, this works in the opposite as well; if your company stagnates and net income starts to erode, so will the corresponding asset value. When I repurchased my company, I paid $250,000. I then for the next several years manipulated the asset and increased its value.

1) I expanded my customer base by 30%.
2) I reduced expenses, improving profitability.
3) I streamlined operations, which created passivity.
4) I elevated "net income."

Over this process, my net income exploded and, with it, asset value. Then, subsequently, and after profiting millions passively, I put the company up for sale and entertained multimillion dollar offers. I bought an asset for $250,000, appreciated and manipulated the variables, and then sold it for millions. I controlled my financial plan; the plan didn't control me.

In the Fastlane, your Wealth Accelerator is based on creating or buying appreciative assets, adding value and manipulating the variables, and then selling. Or you can opt for the Slowlane alternative—dump $200 a month into a mutual fund and pray for 8% per year and 40 years of employment. Excuse me while I laugh.

SUPER-FAST WEALTH ACCELERATION: LIQUIDATION EVENTS

Liquidation events create millionaires overnight, but only if liquidation occurs. Liquidation events are the process of selling your appreciable asset to the market. It's a Fastlane exit strategy.

> *John Twitnuts creates a social networking Web site that goes viral. Soon millions of people are using his service and John finds himself entertaining buyout offers and venture capital investments. Despite having no revenue and no profit, John has built an asset that has value to the marketplace. He receives a $640 million offer for his service from the Web's leading search engine. John declines, arguing that his business will be worth more money once he starts generating revenue. While this is true, it is a gamble. After 18 months, John's social networking service falls out of vogue, proving that the service was nothing more than a fad. The company becomes a bad party joke. In search of glowing valuations on a declining property, John no longer receives investor or buyer interest. He realizes too late that he should have taken the $640 million and experienced a liquidation event. He eventually*